PHILIP MORRIS USA INTER-OFFICE CORRESPONDENCE
120 PARK AVENUE, NEW YORK, NY 10017-5592

TO: Unit Managers **DATE:** April 14, 1993

FROM: Trade Marketing

SUBJECT: Deep Discount Pricing/Allowances

As you all know, on April 2nd, Philip Morris USA announced a substantial change in business strategy. The purpose of this change was to refocus our resources against our major premium brands which we believe will make for a stronger and more profitable company in the future. Ultimately, it is our desire to compete aggressively, including on price in the full margin tier. Nonetheless, our strategy requires a substantial presence and competitive position in all segments, including deep discount. Our competitors, most notably R.J. Reynolds and American Tobacco, have opted to deal away profitability and widen the highest to lowest price gap by continuing to off-set list price with deal-backs and increased off-invoice allowances. Therefore, we are taking the following actions:

- Effective with shipments on Monday April 19th, all PM deep discount products will include a 75¢/ctn. or $3.75/M off-invoice allowance.
- This allowance will be paid retroactively to include all deep discount product shipped on or after April 1st.
- This allowance is currently scheduled to expire on June 30th.

This allowance is not part of the Retail Feature Program and we are not requiring that it be passed on to retailers. However, we continue to seek a competitive price point with other deep discount products at retail. If competitive allowances are being passed on, we should encourage distributors to treat our products the same.

Good Selling!

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